

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA, AN)
OKLAHOMA CORPORATION, FOR)
AN ADJUSTMENT IN ITS RATES AND)
CHARGES AND THE ELECTRIC)
SERVICE RULES, REGULATIONS AND)
CONDITIONS OF SERVICE FOR)
ELECTRIC SERVICE IN THE STATE)
OF OKLAHOMA AND TO APPROVE)
VARIOUS COST RECOVERY)
MECHANISMS AND TARIFFS)

CASE NO. PUD 2025-000075

DIRECT TESTIMONY OF

ALEX E. VAUGHAN

ON BEHALF OF

PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

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EXHIBITS

<u>EXHIBIT</u>	<u>DESCRIPTION</u>
Exhibit AEV-1	Proposed Modifications to Rate Schedule LPL

I. INTRODUCTION

1 **Q. PLEASE STATE YOUR NAME, POSITION, AND BUSINESS ADDRESS.**

2 A. My name is Alex E. Vaughan. I am employed by the American Electric Power Service
3 Corporation (AEPSC) as Managing Director, Pricing Generation & Fuel Strategy, in
4 the Regulatory Services Department. AEPSC is a subsidiary of American Electric
5 Power Company, Inc. (AEP) that provides corporate support services to the operating
6 subsidiaries of AEP, including Public Service Company of Oklahoma (PSO or the
7 Company). My business address is 1 Riverside Plaza, Columbus, Ohio 43215.

8 **Q. PLEASE BRIEFLY DESCRIBE YOUR CURRENT JOB RESPONSIBILITIES.**

9 A. As Managing Director, Pricing Generation & Fuel Strategy, I assist with the
10 preparation of, and support for, filings before the regulatory commissions exercising
11 jurisdiction over the AEP electric utility operating companies, including PSO. My
12 responsibilities include the oversight of cost-of-service analyses, rate design, special
13 contracts, energy supply costs, and new generation resource approvals for the AEP
14 System operating companies.

15 **Q. WOULD YOU PLEASE REVIEW YOUR EDUCATIONAL AND BUSINESS**
16 **BACKGROUND?**

17 A. I graduated from Bowling Green State University with a bachelor of science degree in
18 finance in 2005. Prior to joining AEPSC, I worked for a retail bank and a holding
19 company where I held various underwriting, finance, and accounting positions. In
20 2007, I joined AEPSC as a Settlement Analyst in the RTO Settlements Group. I later
21 became the PJM Settlements Lead Analyst, where I was responsible for reconciling
22 AEP's settlement of its activities in the PJM market with the monthly PJM invoices

1 and for resolving issues with PJM. In 2010, I transferred to Regulatory Services as a
2 Regulatory Analyst and was later promoted to the position of Regulatory Consultant.
3 My responsibilities included supporting regulatory filings across AEP's eleven state
4 jurisdictions and at the FERC. I also performed financial analyses related to AEP's
5 generation resources and loads, power pools, and PJM. In September 2012, I was
6 promoted to Manager, Regulatory Pricing and Analysis, where I was responsible for
7 cost of service, rate design, and special contract analysis for the AEP east operating
8 companies. In September 2018, I was promoted to Director of Regulated Renewables
9 and Pricing, at which time oversight of regulated renewable, new generation and fuel
10 filings across the AEP operating Companies was added to my responsibilities. In June
11 of 2022 I was promoted to Managing Director of Regulated Pricing. I assumed my
12 current position in August of 2024.

13 **Q. HAVE YOU PREVIOUSLY FILED TESTIMONY?**

14 A. Yes. I have presented testimony numerous times before the regulatory bodies in
15 Virginia, West Virginia, Kentucky, Tennessee, Indiana, and Michigan. I have
16 previously provided testimony for the Company before this Commission in Case No.
17 PUD 2022-000121.

18 **Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?**

19 A. The purpose of my testimony is to:

- 20 • Propose modifications to the Company's Large Power and Light (LPL) Rate
21 Schedule;
- 22 • Explain the rationale for the proposed modifications;
- 23 • Further explain how existing customers can benefit from the modifications; and

- 1 • Describe the potential impacts to the Company and its customers if the
2 modifications are not approved by the Commission.

3 **Q. ARE YOU SPONSORING ANY EXHIBITS?**

4 A. Yes, I sponsor the following exhibit:

- 5 • Exhibit AEV-1– Proposed Modifications to Rate Schedule LPL.
6

II. EXECUTIVE SUMMARY

7 The Company proposes to revise its Large Power and Light (LPL) tariff to manage
8 financial risks from large load customers (notably data centers) and to recover costs of
9 substantial new system investments anticipated to serve those loads. The Company
10 proposes to do this with a number of enhanced terms and conditions of service as well
11 as a new demand charge for these customers.

12 The Company expects significant potential additions (over 5,000 MW),
13 creating concentration and investment risks. A single large load can equal thousands
14 of residential customers, the proposed tariff protections will help ensure that existing
15 customers are protected should one of these new large load customers greatly reduce
16 or cease taking service while under contract.

17 The proposed LPL tariff changes are designed to allocate cost responsibility to
18 new large-load customers, reduce financial exposure for PSO and existing customers,
19 and enable recovery of the substantial infrastructure investments required to serve rapid
20 large load growth.

III. THE LARGE LOAD TARIFF

1 **Q. WHAT IS THE COMPANY PROPOSING IN THIS CASE?**

2 A. The Company is requesting approval of modifications to its Large Power and Light
3 (LPL) rate schedule, copies of which are included with my testimony as Exhibit AEV-
4 1.

5 As discussed more below, the proposed tariff modifications are needed to
6 address potential new large load additions to varying degrees between 10 megawatts
7 (MW) and those greater than or equal to 75 MW on an aggregated basis or 75 MW at
8 an individual site. The modifications include:

- 9 • A contract term for an initial period of ten years;
- 10 • A minimum five-year notice to discontinue or modify service;
- 11 • Enhanced monthly minimum billing demands;
- 12 • A new charge to qualifying customers for the period between when they
13 sign an agreement for service and begin taking service from the
14 Company; and
- 15 • An increased minimum amount of collateral to be provided by the
16 customer.

17 The Company is requesting that the proposed revisions to Rate Schedule LPL
18 become effective for customers who begin taking service after January 1, 2026.

1 **Q. WHY IS THE COMPANY PROPOSING THESE MODIFICATIONS NOW?**

2 A. The electric utility industry is in the midst of a transformation, both in terms of
3 customer makeup and the makeup of the generation resources serving those customers.

4 The industry has seen increased activity and interest among large load customers, while
5 at the same time utilities are transitioning their fleets to replace retiring generation
6 resources and meet environmental rules and policies. In recent months, multiple
7 companies have been in discussions with PSO regarding significant amounts of load
8 additions in the Company's retail service territory. These new customers would
9 significantly increase the Company's Oklahoma retail load, and correspondingly,
10 require the Company to make significant infrastructure investments to provide service.

11 The magnitude of the potential load and the level of customer interest associated with
12 these new projects, which I discuss in more detail below, are unlike any previous load
13 additions the Company has experienced to date. Now is the right time to address the
14 changing customer landscape and establish reasonable terms and conditions for large
15 load customers taking service under the LPL Rate Schedule that will apply consistently
16 to such customers, thus giving those customers and the Company the certainty and
17 clarity needed to make the associated infrastructure investments in their respective
18 businesses.

19 **Q. WHAT IS THE MAGNITUDE OF THE LARGE LOAD ISSUE RELATIVE TO**
20 **PSO'S OKLAHOMA SERVICE TERRITORY?**

21 A. As of the time of this filing, PSO has over 5,000 MW of potential new loads greater
22 than 75 MW in its Oklahoma service territory, on top of the 1,900 MW with signed
23 contracts. These loads are largely data centers, so called, "hyper-scalers." To put this

1 in perspective, that level of new load would more than double the Company's system
 2 peak.¹ A lot of these potential customers operate in similar business sectors, expect to
 3 operate at very high load factors, and introduce a significant change in the Company's
 4 business risk through customer concentration in a relatively small number of
 5 customers. To further put this into perspective, a single 75 MW customer is equivalent
 6 to approximately 45,000 residential customers.² This is approximately 9% percent of
 7 PSO's Oklahoma residential customer base today. AEV-Figure 1 below is an
 8 illustration of this potential customer/industry concentration risk from the currently
 9 signed 1.9 gigawatt (GW) of Large loads³.

AEV-Figure 1

Summary of Annual PSO Revenues by Sector		
Current - Top 10 Sectors	Revenue	% of Total Rev
1 Real Estate	\$ 64,271,604	3%
2 Oil and Gas Extraction	\$ 72,272,653	4%
3 Educational Services	\$ 40,948,982	2%
4 Paper Manufacturing	\$ 59,721,123	3%
5 Food Services and Drinking Places	\$ 40,246,103	2%
6 Religious, Grantmaking, Civic, Professional, and Similar Organizations	\$ 31,126,913	2%
7 Pipeline Transportation	\$ 26,759,392	1%
8 Data Processing, Hosting and Related Services	\$ 39,650,610	2%
9 Crop Production	\$ 22,930,798	1%
10 Food Manufacturing	\$ 25,212,319	1%
Total of Top Ten	\$ 423,140,497	22%
Residential Class	\$ 845,320,882	44%
Total Sales Revenue	\$ 1,923,777,945	
After System Additions (1.9 GW of Signed ESAs)		
New Large Loads with Signed ESAs	\$ 693,306,379	26%
Residential	\$ 845,320,882	32%
Previous Top Ten	\$ 423,140,497	16%
Total Sales Revenue	\$ 2,617,084,324	

10 As the figure shows, the current signed 1.9 GW of signed contracts for electric service
 11 (CESs) is estimated to produce more annual revenue⁴ that the entirety of the Company's

¹ PSO's system peak load has averaged roughly 4,100 MW over the past decade.

² One 75 MW customer at a 85% load factor is 44,537,500 kWh of usage in a month, divided by residential average of 1,039 kWh equals 44,791.

³ Material load ramp for executed CESs begins in 2028.

⁴ Revenues are total billed for the 12 months ended November of 2025.

1 current top ten commercial/industrial sectors combined and is almost as large as the
2 entire residential class.

3 **Q. DID THE COMPANY CONSIDER MAKING DATA CENTERS THEIR OWN**
4 **RATE CLASS?**

5 A. An additional rate class is not necessary at this point in time, as the relevant unique
6 features of these customers is their size and the attendant risk that they will substantially
7 reduce their load. Other than size, the load profile from a data center is nearly
8 indistinguishable from any other high load factor customer and thus there are no
9 significant rate design issues to address in serving these customers under this rate
10 schedule as it contains a full cost demand charge⁵. An additional rate class for large,
11 high load factor customers would be materially indistinguishable from the existing LPL
12 class from a rate design perspective. Put another way, a cost-of-service study looking
13 at the functionalization, classification, and allocation of costs for large load customers
14 would not produce materially different results than the existing LPL class with the
15 information we have today. The proposed modifications to the terms and conditions of
16 Schedule LPL adequately address the additional issues associated with serving these
17 customers.

18 **Q. PLEASE EXPLAIN WHY THE PROPOSED RATE SCHEDULE**
19 **MODIFICATIONS ARE REASONABLE AND NECESSARY.**

20 A. The proposed modifications are necessary to memorialize a reciprocal commitment
21 from large load customers that reasonably recognizes and aligns with the financial

⁵ Split between On Peak and Max demand charges.

1 commitments that will be required by the Company to provide these customers service
 2 in the future. As discussed further by Company witness Horeled, Commission approval
 3 of the proposed tariff modifications will position the Company to confidently make the
 4 financial commitments associated with the unprecedented system improvements and
 5 additions that will be required to reliably and adequately serve the Company's
 6 expanded system requirements. The proposed tariff modifications will also provide the
 7 Company and its other customers with reasonable financial protections should one of
 8 these large load customers cease taking service from the Company during the
 9 customer's contract term or otherwise not fulfill its contractual requirements. In sum,
 10 the modified tariff provisions will better position PSO to responsibly grow its load and
 11 assist in providing economic development benefits to Oklahoma.

12 **Q. PLEASE EXPLAIN THE LOAD THRESHOLD AND WHY IT IS**
 13 **REASONABLE.**

14 A. To be subject to the proposed additional language of the LPL rate schedule, a new
 15 customer's total load taking service under the tariff must be greater than or equal to 10
 16 MW. The commitments are then greater for new customers or new load expansions
 17 totaling 75 MW or greater as described in following figure:

AEV-Figure 2

Contract Demand (kW)	Term		Cancellation Notice	Termination Fee	Minimum Collateral
	Min	Max			
< 10,000	1-year	5 years	NA	Remaining	Outstanding Investment
10,000 -74,999	2 years	5 years	2 Years	Contract	2X Annual NFR & Outstanding Investment
> 74,999	10 years	15 years	5 Years	Term	2X Annual NFR & Outstanding Investment

18 These minimum thresholds were chosen because of the significance of the financial
 19 commitment the Company must make to serve the load into the future and the customer

1 concentration risk it represents to PSO's business and the cost of serving its customers.
2 The amount of financial commitment required of PSO to serve these new loads
3 warrants additional terms and conditions to enhance the currently Commission
4 approved LPL rate schedule. Obviously the financial commitment required to serve
5 these new customers, in terms of generation resources and transmission infrastructure
6 is greater as their size increases, which is the reason for the varying levels of terms the
7 Company is proposing based on contract capacity amounts.

8 As an example, at an average accredited capacity value of 50% and a resource
9 cost of \$2,000/kW, it would require an investment of approximately \$300 million to
10 meet the generation capacity requirement of a single 75 MW load. While this is just an
11 illustrative example and the financial commitments will vary based on the type of
12 resource, it highlights the significance of the commitments, particularly when
13 considering the magnitude of load growth the Company may see in the near future.
14 Setting a minimum ensures that only large loads above the threshold will be subject to
15 the provisions in recognition of the larger impacts that customers of this size will have
16 on the Company.

17 **Q. HOW DOES PSO INTEND FOR THESE NEW TERMS AND CONDITIONS TO**
18 **APPLY TO EXISTING CUSTOMERS?**

19 A. At the time of this filing, the Company has a single customer with a demand greater
20 than 75 MW and does have customers with demands greater than 10 MW. The
21 Company proposes that these new terms and conditions of service for large load
22 customers only apply to new customers who begin taking service from the Company
23 after January 1, 2026.

1 **Q. HOW WILL THE COMPANY ASSESS A CUSTOMER'S AGGREGATE**
2 **LOAD WITH RESPECT TO THIS TERM AND CONDITION OF SERVICE?**

3 A. As the Company applies its terms and conditions of service for Schedule LPL
4 customers, it will require customers to identify all other loads, 1 MW or larger, served
5 by the Company in its Oklahoma service territory. The Company will use reasonable
6 discretion to determine a customer's aggregate load, including considering loads served
7 by the Company that are under a common parent company, common ownership,
8 common control, and/or have common local electrical infrastructure. This provision is
9 necessary to limit concentration risk that could develop if there are two or more
10 customers under the same corporate umbrella that individually do not meet the large
11 load criteria.

12 **Q. HAVE THE COMPANY'S AFFILIATES PROPOSED SIMILAR TERMS IN**
13 **THEIR RETAIL JURISDICTIONS?**

14 A. Yes they have. AEV-Figure 3 provides a summary of the Company's vertically
15 integrated affiliates' proposals.

AEV-Figure 3

	APCo VA Generation & Transmission Rate Schedule L.P.S.	APCo WV Generation & Transmission Rate Schedules LCP & IP	I&M Indiana Generation & Transmission Tariff I.P.	SWEPco TX Generation & Transmission Rate Schedule LLP	I&M Michigan Generation & Transmission Tariff L.P.	KPCO KY Generation & Transmission Tariff I.G.S.
Initial Term of Contract	12-17 years (Depends on ramp period)	12-17 years (Depends on ramp period)	12-17 years (Depends on ramp period)	12-17 years (Depends on ramp period)	15-20 years (Depends on ramp period)	20 years
Customer Size	100 MW Individual site, 150 MW aggregated	100 MW Individual site, 150 MW aggregated	70 MW Individual site, 150 MW aggregated	75 MW Individual site, 75 MW aggregated	50 MW Individual site, 50 MW aggregated	150 MW
Cancellation Notice	42 months (after 5 years of full load)	42 months	42 months	60 months	60 months	60 months
Capacity Changes	42 months or mutual agreement, no more than 20% (after 5 years of full load)	42 months or mutual agreement, no more than 20% (after 5 years of full load)	42 months or mutual agreement, no more than 20% (after 5 years of full load)	—	60 months or mutual agreement, no more than 20% (after 5 years of full load)	60 months or mutual agreement 
Termination Fee	After Year 5, Remaining term, no more than 5 years of minimum bills	After Year 5, Remaining term, no more than 5 years of minimum bills	After Year 5, Remaining term, no more than 5 years of minimum bills	Remaining term	After Year 5, Remaining term, no more than 5 years of minimum bills	After Year 5, 5 years of minimum bills
Minimum Bill Demand	80% of contract or previous high plus new, higher minimum bill charge	80% of contract or previous high plus new, higher minimum bill charge	80% of contract or previous high plus new, higher minimum bill charge	80% of contract or previous high plus new, higher minimum bill charge	90% of contract or previous high plus new, higher minimum bill charge	90% of contract, 90% of previous high
Minimum Bill Energy	60% of the contract capacity times no. of hours in month	60% of the contract capacity times no. of hours in month	Energy block 1 embedded capacity charge times billing demand*	65% of the contract capacity times no. of hours in month	65% of the contract capacity times no. of hours in month	—
Collateral	24 months of non-fuel bills	24 months of non-fuel bills	24 months of non-fuel bills	24 months of non-fuel bills	24 months of non-fuel bills	24 months of non-fuel bills
Filing Status	Partial settlement, hearing held	Approved unanimous settlement agreement	Approved settlement	Filing Accepted by Staff	Filed	Approved
Docket	2025-00057	24-0611-E-T-PW	46097	58796	U-21986	2024-00305

1 **Q. PLEASE EXPLAIN THE COMPANY'S PROPOSAL TO REQUIRE UP TO A**
2 **TEN-YEAR CONTRACT TERM FOR LARGE LOAD CUSTOMERS AND**
3 **THE RATIONALE FOR THE PROPOSAL.**

4 **A.** For customers that meet the load thresholds, PSO proposes to include the following
5 term in its Schedule LPL:

6 “The Large load Customers with a contract capacity of less than 75
7 MW shall have an Initial Contract Term of not less than 2 years. The Large
8 load Customers with a contract capacity equal to or greater than 75 MW shall
9 have an Initial Contract Term of not less than 10 years. A Large load
10 Customer may designate a Load Ramp Period, which can be no greater than
11 five years. If a Load Ramp Period is designated by the Large load Customer,
12 the Initial Contract Term shall commence after the Load Ramp Period ends.

The Load Ramp Period is the later period of time from when: (a) electric service is available to the Large load Customer or (b) the Large load Customer is scheduled to begin taking electric service, until the time the Large load Customer's maximum contract capacity is billed. The Contract Term is the Load Ramp Period plus the Initial Contract Term. Unless proper written notice is provided, the Initial Contract Term shall be evergreen and extend on anniversary date until such written notice is provided. ”

The Company proposes to include this term because of the significant long-term investments and commitments that will need to be made to provide service with its greatly expanded system requirements, primarily generation and transmission assets, as well as Purchase Power Agreements (PPAs) and other contracts, to serve these large load customers. Such costs must necessarily be reflected in the Company's rates for service. It is important for the Company to have a reciprocal long-term commitment from large load customers to support making the necessary long-term investments and commitments.

A longer initial contract term of at least 10 years provides a reasonable assurance that these customers will take service over a period long enough to provide a substantial contribution to the cost of the significant investments and financial commitments they are creating.

Q. PLEASE EXPLAIN THE PROVISIONS REGARDING SERVICE DISCONTINUANCE AND REDUCTION TO CONTRACT CAPACITY AND THE RATIONAL FOR THE PROPOSED REQUIREMENTS.

A. For customers that meet the load thresholds, the Company proposes to include the following language in Schedule LPL:

“Notice period for the Large load Customer to terminate its contract shall be 60 months. Notice shall be provided by giving the Company at least 60 months written notice, subject to payment of a termination fee (“Exit Fee”). The Exit Fee shall be due and payable to the Company upon the

1 effective date of the contract termination. The Exit Fee shall be calculated
2 as the nominal value of the remaining Minimum Charge for the terminated
3 capacity for the remaining contract term. The Exit Fee Period is defined as
4 the Large load Customer's then remaining Initial Contract Term, or any
5 agreed extension."

6 These terms are designed to establish a minimum financial commitment and provide
7 the customer the ability to exit the contract with a 60-month notice period, in the event
8 of a permanent closure, given that they are still responsible for the minimum charges
9 for the entirety of their Initial Contract Term.

10 The Company's proposal provides reasonable safeguards to all other customers
11 in the event of an unexpected shutdown by a large load customer. In the event of this
12 unexpected circumstance, a 60-month notice period provides the Company a
13 reasonable period of time to prudently adjust its resource portfolio.

14 **Q. PLEASE EXPLAIN THE COLLATERAL REQUIREMENTS AND WHY**
15 **THEY ARE BEING PROPOSED.**

16 A. For customers that meet the load thresholds, the Company proposes to include the
17 following language in its Schedule LPL:

18 The Large load Customer shall provide collateral in a form acceptable
19 to the Company based upon the creditworthiness of the customer. The
20 amount of collateral provided shall be equal to 24 times the Large load
21 Customer's previous maximum monthly non-fuel bill plus any
22 additional outstanding direct interconnection investment once the
23 Initial Contract Term has begun. During the first year, or any
24 designated ramp period of the contract, the maximum expected bill
25 shall be based upon the Large load Customer's ultimate contract
26 capacity. The amount of collateral to be provided will be recomputed
27 annually, and updated if the recomputed value is 10% greater than the
28 current amount held.

29 The Company proposes to include this term because the size and concentration risk of
30 these customers are unlike other customers. If a large load customer was to

1 unexpectedly exit the Company's Oklahoma service territory and/or system, there is
2 potential for significant financial harm to the Company and its other customers. With
3 the amount of interest in the Company's system from large load customers, as it stands
4 today, less than a handful of those customers would constitute the largest single sector
5 for the Company, even potentially greater than the Company's existing residential,
6 commercial, and industrial customers combined. Consequently, it is imperative that
7 other customers and the Company are reasonably protected in the event the unexpected
8 occurs with these large load customers. While no reasonable term can fully insulate the
9 Company and its other customers, the proposed term reasonably increases the
10 requirement of the current Terms and Conditions of Service and provides additional
11 protections in the event a large load customer unexpectedly reduces its load or ceases
12 taking service from the Company and is unable to pay its remaining charges.

13 **Q. IF A LARGE LOAD CUSTOMER DISCONTINUES SERVICE OR REDUCES**
14 **ITS CONTRACT CAPACITY, CAN THE COMPANY SIMPLY SELL ANY**
15 **EXCESS CAPACITY FOR THE BENEFIT OF CUSTOMERS, NEGATING**
16 **THE NEED FOR COLLATERAL?**

17 A. The Company can and will evaluate its capacity position at the time it is informed of a
18 reduction of contract capacity and make decisions regarding the disposition of excess
19 capacity that are in the best interests of customers. Because large amounts of capacity
20 may not be readily marketable, additional time is necessary, at a minimum, to ensure
21 that the Company can prudently plan and ensure the best possible terms are reached on
22 behalf of customers. Excess generating capacity may be sold, but at unknown bilateral
23 market prices which could be significantly less than their cost. Transmission capacity

1 really can't be sold; the Company can only work to attract load to that location to
2 improve utilization.

3 **Q. PLEASE EXPLAIN THE PROPOSED MONTHLY MINIMUM BILLING**
4 **DEMAND PROVISION AND WHY IT IS REASONABLE.**

5 A. For customers that meet the load thresholds, PSO proposes to include the following
6 language in Schedule LPL:

7 The Monthly Billing Demands for Large load Customers shall be the
8 single-highest 30-minute integrated peak in kW, as registered during
9 the month in the on-peak period and max demand period as described
10 in this Schedule, by a demand meter or indicator. The monthly billing
11 demand established hereunder shall not be less than the greater of (a)
12 80% percent of the Large load Customer's contract capacity specified
13 for the applicable time period of the Contract Term; or (b) 90 percent
14 of the Large load Customer's highest previously established Monthly
15 Billing Demand during the past 11 months. For avoidance of doubt,
16 this provision applies to both the On-Peak and Maximum Monthly
17 Demand provisions of schedule LPL and all applicable riders.

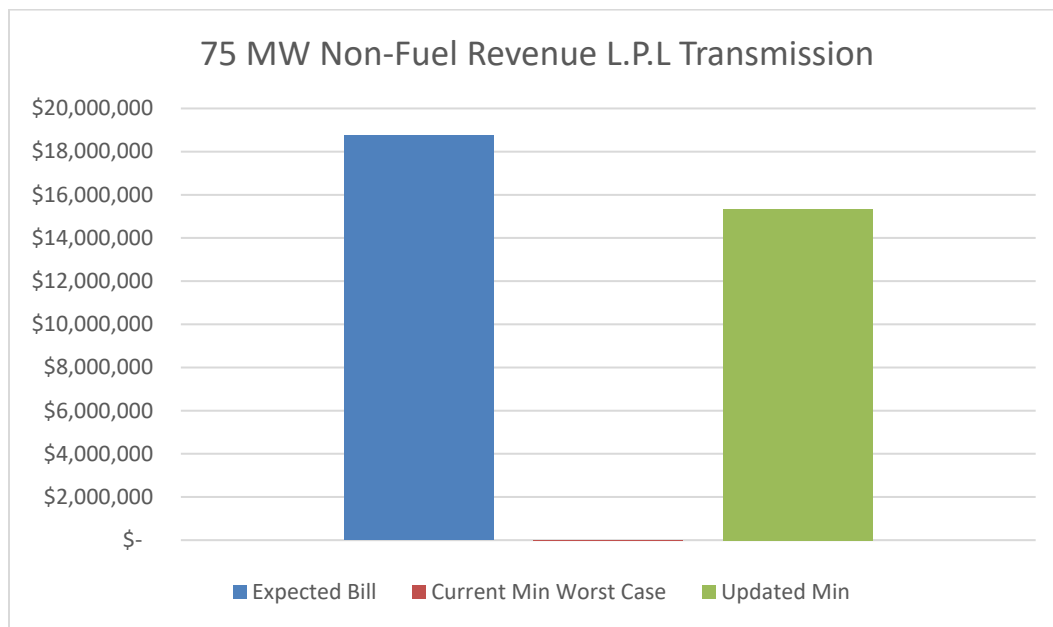
18 The Company proposes to include this term for large load customers primarily because
19 of the magnitude and size of these customers and the fact that the Company will need
20 to enter commitments for years into the future to have adequate power supply to meet
21 the customers' needs based on the total contract capacity requested by each customer.

22 Currently, the existing provisions of Schedule LPL have a billing demand
23 minimum that is 90 percent of trailing 11-month high previous demand. Without
24 modification to the schedule for large load customers, a drop in billing demand over
25 time by just one of these customers could have significant financial consequences for
26 the Company and its customers. Thus it is important to add in the 80% of contract
27 demand provision to help supplement the existing LPL terms. Otherwise, the Company
28 could be in a position where it has added significant amounts of infrastructure to its

1 system to serve these customers, and they would be able to reduce their load over time
2 with no financial consequence to the customer who has done so.

3 Additionally, AEV-Figure 4 below demonstrates the potential revenue
4 difference between the current and proposed minimum demand clauses for a single 75
5 MW customer.

AEV-Figure 4



6 The magnitude of such potential volatility and variability would be far too significant
7 for the Company to manage financially and within the regulatory process that exists
8 today for establishing base rates especially given the magnitude of large load Customer
9 prospects the Company is in discussions with. As can be seen, the Company's proposal
10 greatly reduces the potential downside variation in non-fuel revenue collections from
11 new large load Customers. This provision ensures that large load customers are
12 responsible for at least 80 percent of their requested contract capacity from a non-fuel
13 cost perspective.

1 **Q. IS THE COMPANY PROPOSING ANY NEW CHARGES THAT WOULD**
2 **APPLY TO THESE LARGE LOAD CUSTOMERS?**

3 A. Yes. The Company is proposing a new demand charge, the “system contribution
4 charge”, for new customers with a ultimate contract demand of 10 MW or greater that
5 will apply to the period of time after the customer has signed a CES but has not yet
6 begun taking electric service from the Company (receiving energy at their location per
7 their contract). The proposed system contribution charge reflects the fact that the
8 Company will be building/contracting for/purchasing new system assets prior to the
9 new large load customer’s service beginning. The new large load customer will begin
10 contributing towards these new system assets that will be used to serve all customers
11 including the load growth, thus reducing any potential burden on existing customers.

12 **Q. WHAT IS THE PROPOSED PRICE OF THE SYSTEM CONTRIBUTION**
13 **CHARGE AND HOW WAS IT DETERMINED?**

14 A. The system contribution charge is a demand charge of \$4.88 /kW-month which will be
15 applied to the average contract demand for the first year of customer’s future service,
16 as memorialized in the customer’s executed CES. The charge will begin being billed
17 the first full month following the execution of the customer’s CES by the Company
18 and the customer.

19 The \$4.88 /kW-month was derived from the class cost of service for the LPL
20 service level 1. It is meant to represent the return component for the generation function
21 as allocated in the study to LPL service level 1.

1 **Q. HOW DOES PSO EXPECT THESE ADDITIONAL PROVISIONS TO IMPACT**
2 **LARGE LOAD CUSTOMERS?**

3 A. Except for the higher collateral requirements, and the new system contribution charge,
4 the proposed provisions would only have an impact if something unexpected occurred.
5 Meaning, if the customers' businesses operate consistent with the load they are
6 contracting for, the changes will have no financial impact on these customers. Large
7 load customers served under these new provisions will pay the same rates as all other
8 customers taking service under Schedule LPL.

9 **Q. IF THE PROPOSED REVISIONS ARE APPROVED BY THE COMMISSION,**
10 **DO ALL CUSTOMERS BENEFIT?**

11 A. Yes. The Company's proposal is intended to enhance the existing protections of the
12 Company's current Schedule LPL to address the increased risk associated with
13 providing service to large loads. Including these enhancements in Schedule LPL
14 provides a consistent treatment for large loads.

15 If the Commission approves Schedule LPL as proposed by the Company in this
16 proceeding, the Company and its customers will be better protected in the event a large
17 load customer unexpectedly reduces its load or exits the system. These protections are
18 important and reasonable for the Company's existing customers and should be
19 approved by the Commission.

1 **Q. DO THE PROPOSED CHANGES DIRECTLY IMPACT ANY EXISTING**
2 **CUSTOMERS?**

3 A. No. As discussed previously, the Company proposes to grandfather customers already
4 taking service from the Company at the time of this filing from the expanded LPL
5 provisions.

6 **Q. WHEN IS THE COMPANY REQUESTING THAT THESE MODIFICATIONS**
7 **BE EFFECTIVE?**

8 A. The Company proposes to make the revised Schedule LPL terms and conditions
9 effective for all applicable customers who begin taking service (receiving energy and
10 capacity at their site for the avoidance of doubt) after January 1, 2026.

11 **Q. DOES THIS CONCLUDE YOUR DIRECT TESTIMONY?**

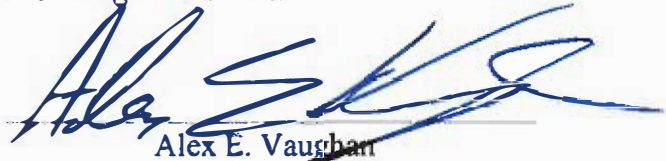
12 A. Yes.

AFFIDAVIT OF ALEX E. VAUGHAN

STATE OF OHIO

COUNTY OF FRANKLIN

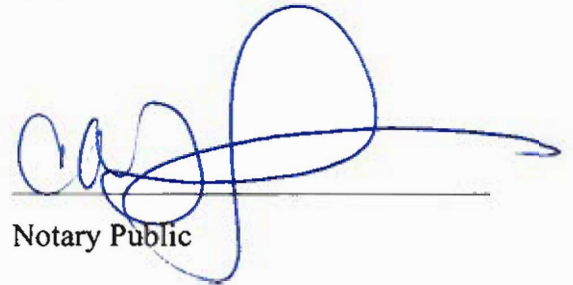
On the 22nd day of December, 2025, before me appeared Alex E. Vaughan to me personally known, who, being by me first duly sworn, states that he is the Managing Director of Regulated Pricing for American Electric Power Service Corporation and acknowledges that he has read the above and foregoing document and believes that the statements therein are true and correct to the best of his information, knowledge and belief.


Alex E. Vaughan

Subscribed and sworn to before me this 22nd day of December 2025



Christine Alaine Frankart
Attorney At Law
Notary Public, State of Ohio
My commission has no expiration date
Sec. 147.03 R.C.


Notary Public

My commission expires: this no expiration

PUBLIC SERVICE COMPANY OF OKLAHOMA
P.O. BOX 201
TULSA, OKLAHOMA 74102-0201

9TH-10TH REVISED SHEET NO. 20 - 1
REPLACING 8TH-9TH REVISED SHEET NO. 20 - 1
EFFECTIVE DATE 1/30/2025/1/2026

SCHEDULE: LARGE POWER AND LIGHT (LPL) — RATE CODE 242, 244, 246

AVAILABILITY

This rate schedule is available on an annual basis to any retail customers served at Transmission, Transmission Substation, or Primary Service as defined below:

RATE CODE	DESCRIPTION
242	<u>Transmission Service</u> is defined as service taken directly from the transmission system (69 kV or greater) with no transformation provided by the Company.
244	<u>Primary Substation Service</u> is defined as service taken directly from the transmission system (69 kV or greater) with one transformation provided through a Company owned substation or transformer.
246	<u>Primary Service</u> is defined as: 1) service taken from a primary distribution line (34 kV or lower) with only one transformation provided by the Company from the transmission system (69 kV or higher); or, 2) service taken from a primary distribution line at 2.4 kV to 34 kV with more than one transformation provided by the Company from the transmission system.

This schedule is not available to Secondary customers. This schedule is not available for resale, stand-by, breakdown, auxiliary or supplemental service. It is the customer's option whether service will be supplied under this schedule or any other schedule for which the customer is eligible. Once this schedule is selected, service will continue to be supplied under this schedule for twelve consecutive months unless a material and permanent change in the customer's load occurs.

A written contract is required for customers taking service under this rate schedule. Individual customers receiving service under this schedule will not be permitted to migrate between Transmission, Primary Substation, and Primary Service until the expiration of their current contract.

Service will be supplied at one delivery point and shall be at one standard voltage.

The Company will furnish service in accordance with the Company's Rules, Regulations, and Conditions of Service, and the Rules and Regulations of the Oklahoma Corporation Commission.

Rates Authorized by the Oklahoma Corporation Commission

Effective	Order Number	Case / Docket Number
July 1, 2026	XXXX	PUD 2025-000075
January 30, 2025	746624	PUD 2023-000086
January 2, 2024	738571	PUD 2022-000093
January 31, 2022	722410	PUD 202100055
March 29, 2019	692809	PUD 201800097
February 28, 2018	672864	PUD 201700151

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TULSA, OKLAHOMA 74102-0201

~~9TH-10TH~~ REVISED SHEET NO. 20 - 2
REPLACING ~~8TH-9TH~~ REVISED SHEET NO. 20 - 2
EFFECTIVE DATE 1/30/2025/1/2026

SCHEDULE: LARGE POWER AND LIGHT (LPL) — **RATE CODE 242, 244, 246**

MONTHLY RATES

Base Service Charge \$280.00

Transmission (242) P-Substation (244) Primary (246)

Energy Charge (kWh)	\$0.001708001710 \$0.002093002459 \$0.003051003057		
Peak Demand Charge (kW)	\$7.0514.67 \$9.2919.03 \$10.3119.99		
Maximum Demand Charge (kW)	\$2.475.14 \$3.416.99 \$4.268.26		

Reactive Power Charge

See Reactive Power Schedule.

DETERMINATION OF ON-PEAK PERIOD

The On-Peak period is defined as those hours between 2:00 p.m. and 9:00 p.m. local time, Monday through Friday, from June 1 through September 30, excluding Juneteenth, Independence Day, and Labor Day holidays.

DETERMINATION OF MONTHLY BILLING DEMANDS

Two demand values are required for monthly billing; (1) **PEAK DEMAND** and (2) **MONTHLY MAXIMUM DEMAND**.

Peak Demand

Peak demand is determined as follows:

June 1 through September 30 -- the greater of the current month's maximum *On-Peak period* demand or ninety percent (90%) of the highest *On-Peak period* demand occurring during the preceding eleven (11) months.

Rates Authorized by the Oklahoma Corporation Commission

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~~9TH-10TH~~ REVISED SHEET NO. 20 - 3
REPLACING ~~8TH-9TH~~ REVISED SHEET NO. 20 - 3
EFFECTIVE DATE 1/30/2025/1/2026

SCHEDULE: LARGE POWER AND LIGHT (LPL) — **__RATE CODE 242, 244, 246**

October 1 through May 31 -- is equal to ninety percent (90%) of the highest *On-Peak period* demand occurring during the preceding eleven (11) months.

The Peak Demand for premises without previously established *On-Peak period* demand history will be seventy-five percent (75%) of the current month's maximum demand until an *On-Peak period* demand is established.

Monthly Maximum Demand

The Monthly Maximum Demand and the monthly maximum kVAR requirements will be the highest metered kW and kVAR occurring during the month. Metered data is based on thirty-minute integrated periods measured by demand meters.

DETERMINATION OF MINIMUM MONTHLY BILL

The Minimum Monthly Bill is the *Base Service Charge* plus the demand charges.

The Minimum Monthly Bill shall be adjusted according to *Adjustments to Billing*. If the customer's load is highly fluctuating to the extent that it causes interference with standard quality service to other loads, the customer will be required to pay the Company's cost to install transformer capacity necessary to correct such interference.

ADJUSTMENTS TO BILLING

Fuel Cost Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Fuel Cost Adjustment Rider.

Tax Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Tax Adjustment Rider.

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~~9TH-10TH~~ REVISED SHEET NO. 20 - 4
REPLACING ~~8TH-9TH~~ REVISED SHEET NO. 20 - 4
EFFECTIVE DATE 1/30/2025/1/2026

SCHEDULE: LARGE POWER AND LIGHT (LPL)— **__RATE CODE 242, 244, 246**

Metering Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Metering Adjustment Rider.

TERMS OF PAYMENT

Monthly bills are due and payable by the due date. Monthly bills unpaid by the due date will be assessed a late payment charge of 1 ½ percent of the total amount due.

SPECIAL TERMS AND CONDITIONS

This Schedule is subject to the Company's standard Terms and Conditions of Service except where modified in this section.

LARGE LOAD CUSTOMERS

Applicability

The following terms and conditions do not apply to the contracted capacity of any existing customer receiving electric service from the Company as of January 1, 2026. After January 1, 2026, the following terms and conditions apply to any new load, and to any expansion of existing load, so long as that new load or load expansion itself has a contract capacity greater than or equal to 10 MW at an individual site or 10 MW on an aggregated basis ("Large Load Customer"). The Company will exercise reasonable discretion when choosing to aggregate premises, with such discretion based on factors including, but not limited to, premises sharing one or more of the following: common owner(s), a common parent company, common local electrical infrastructure, and common control. Large Load Customer's Initial Contract Term, load ramp, Load Ramp Period, contract capacity, and other terms of service under this Tariff will be defined in the Contract for Electric Service(s) ("CES(s)") executed between the Company and Large Load Customer.

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~~9TH-10TH~~ REVISED SHEET NO. 20 - 5
REPLACING ~~8TH-9TH~~ REVISED SHEET NO. 20 - 5
EFFECTIVE DATE 1/30/2025/1/2026

SCHEDULE: LARGE POWER AND LIGHT (LPL)— **RATE CODE 242, 244, 246**

Contract Term

The Large Load Customers with a contract capacity of less than 75 MW shall have an Initial Contract Term of not less than 2 years. The Large Load Customers with a contract capacity equal to or greater than 75 MW shall have an Initial Contract Term of not less than 10 years. A Large Load Customer may designate a Load Ramp Period, which can be no greater than five years. If a Load Ramp Period is designated by the Large Load Customer, the Initial Contract Term shall commence after the Load Ramp Period ends. The Load Ramp Period is the later period of time from when: (a) electric service is available to the Large Load Customer or (b) the Large Load Customer is scheduled to begin taking electric service, until the time the Large Load Customer's maximum contract capacity is billed. The Contract Term is the Load Ramp Period plus the Initial Contract Term. Unless proper written notice is provided, the Initial Contract Term shall be evergreen and extend on anniversary date until such written notice is provided.

Monthly Billing Demand

The Monthly Billing Demands for Large Load Customers shall be the single-highest 30-minute integrated peak in kW, as registered during the month in the on-peak period and max demand period as described in this Schedule, by a demand meter or indicator. The monthly billing demand established hereunder shall not be less than the greater of (a) eighty percent (80%) of the Large Load Customer's contract capacity specified for the applicable time period of the Initial Contract Term; or (b) ninety percent (90%) of the Large Load Customer's highest previously established Monthly Billing Demand during the past 11 months. For avoidance of doubt, this provision applies to both the On-Peak and Maximum Monthly Demand provisions of schedule LPL.

Minimum Charge

The Large Load Customer is subject to a minimum monthly charge equal to the sum of the Customer Charge, the product of the demand charges and the monthly billing demand, and all applicable adjustments.

System Contribution Charge

The Large Load Customer shall be subject to the System Contribution Charge of \$4.88 /kW-month beginning the first full month following the execution of the Large Load Customer's contract for electric service by the Company and the Large Load Customer. The System Contribution Charge shall cease

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~~9TH-10TH~~ REVISED SHEET NO. 20 - 6
REPLACING ~~8TH-9TH~~ REVISED SHEET NO. 20 - 6
EFFECTIVE DATE 1/30/2025/1/2026

SCHEDULE: LARGE POWER AND LIGHT (LPL)— **RATE CODE 242, 244, 246**

billing when the Large Load Customer begins taking electric service from the Company and is billed under the provisions of schedule LPL.

The billing demand for the System Contribution Charge shall be the average demand for the first year of the Large Load Customer's future service as outlined in the executed contract for electric service.

Collateral Requirement

The Large Load Customer shall provide collateral in a form acceptable to the Company based upon the creditworthiness of the customer as determined by the Company. The amount of collateral provided shall be equal to 24 times the Large Load Customer's previous maximum monthly non-fuel bill plus any additional outstanding direct interconnection investment once the Initial Contract Term has begun. During the first year, or any designated ramp period of the contract, the maximum expected bill shall be based upon the Large Load Customer's ultimate contract capacity. The amount of collateral to be provided will be recomputed annually and updated if the recomputed value is ten percent (10%) greater than the current amount held.

Notice And Exit Fee

Notice period for the Large Load Customer with a contract capacity of 75 MW or greater to terminate its contract shall be 60 months. Notice shall be provided by giving the Company at least 60 months written notice, subject to payment of a termination fee ("Exit Fee"). Notice period for the Large Load Customer with a contract capacity greater than 10 MW but less than 75 MW to terminate its contract shall be 24 months. Notice shall be provided by giving the Company at least 24 months written notice, subject to payment of a termination fee ("Exit Fee").

The Exit Fee shall be due and payable to the Company upon the effective date of the contract termination. The Exit Fee shall be calculated as the nominal value of the remaining Minimum Charge for the terminated capacity for the remaining contract term. The Exit Fee Period is defined as the Large Load Customer's then remaining Initial Contract Term, or any agreed extension.

If there is an issue concerning the calculation of the Exit Fee or delivery of any mitigation amounts, that either the Company or Large Load Customer view as in need of escalation, either the Company or Large Load Customer may request escalation. Such request shall be made in writing and within 14

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9TH-10TH REVISED SHEET NO. 20 - 7
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EFFECTIVE DATE 1/30/2025/1/2026

SCHEDULE: LARGE POWER AND LIGHT (LPL)—

RATE CODE 242, 244, 246

business days of the Large Load Customer being notified regarding the Exit Fee calculation. In such instance, management representatives for the Company and for the Large Load Customer will discuss and seek to resolve any issues. The management discussion shall occur within 14 business days of a request, unless otherwise agreed to in writing by the Company and Large Load Customer. The Company and Large Load Customer agree to use this escalation process in good faith, escalating only those matters appropriate for management's consideration. This dispute resolution process does not limit or otherwise affect the ability of either Large Load Customer or the Company to file a formal proceeding requesting the Commission to resolve the dispute.

Large Load Customer shall not assign any of its rights or delegate any of its obligations under the Contract without the written consent of the Company. An assignment or delegation in violation of this Paragraph is null and void.

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